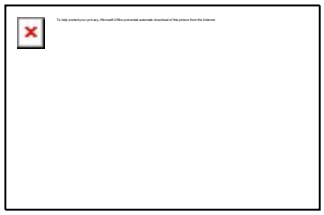
Peter Cooney

From: Australian Taxation Office <noreply@ato.gov.au>
Sent: Thursday, 30 April 2026 9:57 AM
To: Peter Cooney
Subject: Review Your First R&DTI Claim [SEC = OFFICIAL]

Do not respond by email.
We use hyperlinks to give you more information. If you don't want to click hyperlinks, you can search for the information on the **ATO website**.



R&DTI Program

CAPIX TREASURY SOFTWARE PTY LTD
81072587976

Hi PETER

> Review your R&D claim
> Ensure you're meeting your tax obligations

Our records show that you've made your first R&D Tax Incentive (R&DTI) claim.

One of our focus areas is correct reporting of R&DTI claims. To do this, we're verifying what you've reported in your tax return against other sources of information.

What you need to know

Your receipt of the registration number from the Department of Industry, Science and Resources (DISR) is not an approval of your R&D activities.

Your registration is part of a self-assessment process that establishes the precondition for claiming the R&DTI.

The ATO and DISR conduct regular compliance reviews to check whether eligible R&D expenditure was claimed on eligible R&D activities.

If we find that you didn't self-assess correctly, you'll need to pay back any R&D tax offset received. Penalties and interest may also be applied.

For more information, go to the ATO website and search for **QC 70860**.

What you need to do

You need to take the time to review your R&D claim and compliance with your tax obligations. We've included a list of common tax issues we're currently focussing on for you to consider and discuss with your agent.

You need to review your records to check you haven't made any mistakes. For more information on keeping records and calculating your notional deductions, go to the ATO website and search for **QC 71853**.

If you have overclaimed your R&D notional deductions, or if you've made a mistake with your tax records, you'll need to lodge an amendment by **27 May 2026**.

For more information on how to amend your tax return, go to the ATO website and search for **QC 33797**.

If you find you haven't made any mistakes, you don't need to do anything else.

What happens next

If you've made a mistake in these areas or any other aspect of your tax return and you choose not to amend, we may contact you to initiate a review or audit.

If we find you have a tax shortfall, we may charge you a penalty.

We will continue to monitor your returns and risk indicators.

Common tax issues

Incurred and incurred 'on'

You can only claim R&DTI where you have sufficient documentation to substantiate the expense has been incurred and incurred on eligible R&D activities. Your records must:

> allow the ATO to understand the nature and conduct of the claimed R&D activities;
> demonstrate the expenditure has been incurred on registered R&D activities.

The table below provides some examples of records and documents that may not meet the requirements to substantiate an R&D tax offset claim.

Record	Reason
Invoice stating "consulting services"	Does not link expense to R&D activity.

Generic project summary	Does not identify specific R&D activities or outcomes.
Timesheets without activity codes	Cannot distinguish R&D time from other work.
Contracts without deliverables	No evidence of R&D-related work performed.
Travel expenditure	Expenditure on entertainment and meals are not claimable R&D expenditure. Travel expenditure not specifically on registered R&D activities.

Apportionment of overheads

R&DTI claims that allocate an unreasonably large value from overhead expenses to eligible R&D activities is a common issue. R&DTI claims should:

> Use reasonable and evidence-based apportionment methods;
> Apply different methods for different types of expenditure (e.g. time-based for salaries, area-based for rent);
> Avoid arbitrary or blanket percentages that do not reflect actual usage or effort.

Payments to Associates

Expenditure incurred to associates can only be claimed where it has been paid or constructively paid in the relevant year. For more information, go to the ATO website and search for **QC 71966**.

For other areas of concern, go to the ATO website and search for **QC 70873**.

Need help using our services?

We can support you in different ways:

> **In different languages** – call the Translating and Interpreting Service on **13 14 50** from 8:00 am to 6:00 pm, Monday to Friday to speak with us.
> **First Nations support** – call our Indigenous Helpline on **13 10 30** for help with tax and super.
> **If you are deaf, hard of hearing or have a speech communication difficulty** – use the National Relay Service and provide the ATO phone number you want to call. To find out more about the NRS visit the Access Hub website.

To find out more about these services, go to the ATO website and search for **QC 30979**.

For more information about the Research and Development Tax Incentive program, go to the ATO website and search for

QC 70860